

SENATE BILL 437

By Reeves

AN ACT to amend Tennessee Code Annotated, Title 56
and Title 71, relative to health insurance.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 56, Chapter 7, Part 26, is amended by
adding the following as a new section:

(a) As used in this section:

(1) "Health benefit plan" means a plan of health insurance coverage as
that term is defined in § 56-7-109;

(2) "Mental health or substance abuse services" means care or services
for the treatment of a mental health condition or substance use disorder that falls
under a diagnostic category listed in the most recent version of the *Diagnostic
and Statistical Manual of Mental Disorders*; and

(3) "Psychiatric collaborative care model" or "PCCM" means an
evidence-based, integrated behavioral healthcare model of treatment that:

(A) Is provided by a primary care provider and a care manager
who work in collaboration with a psychiatric consultant, such as a
psychiatrist;

(B) Is overseen by the primary care provider and care manager
and includes structured care management with regular assessments of a
patient's clinical status using validated tools and modification of treatment
as appropriate; and

(C) Requires the psychiatric consultant to provide regular consultations to the primary care provider and care manager to review the clinical status and care of a patient and make appropriate recommendations.

(b)

(1) Except as provided in subdivision (b)(2), a health benefit plan that is offered, delivered, or issued for delivery on or after July 1, 2025, and that provides mental health and substance abuse services must provide for coverage and reimbursement of such services through a PCCM.

(2) A health benefit plan may deny coverage and reimbursement of services mandated under subdivision (b)(1) on the grounds of medical necessity only if the health benefit plan's coverage for mental health and substance abuse otherwise complies with state law and the federal Paul Wellstone and Pete Domenici Mental Health Parity and Addiction Equity Act of 2008 (MHPAEA) (42 U.S.C. § 300gg-26), and its regulations, and with the Health Care Service Utilization Review Act, codified in chapter 6, part 7 of this title.

(3) A managed care organization contracting with the state to provide insurance through the TennCare program, or a successor program, established under title 71, chapter 5, or the CoverKids program, or a successor program, established under title 71, chapter 3, must provide coverage in accordance with this section if such coverage is determined to be medically necessary pursuant to § 71-5-144 if the patient is enrolled in the TennCare program, or determined to be medically necessary by a healthcare provider if the patient is enrolled in the CoverKids program, as applicable.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it.